



SECOND QUARTER 2013 FINANCIAL RESULTS

August 6, 2013

zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect Zoetis' current views with respect to business plans or prospects, future operating or financial performance, and other future events. These statements are not guarantees of future performance. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2012, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors", in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income and adjusted diluted earnings per share, to assess and analyze our operational results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this news release should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our press release and are posted on our website at www.zoetis.com

JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

CONTINUED TO DELIVER ON OUR COMMITMENTS

- Delivered continued growth in the quarter and year-to-date
- Reaffirming full-year guidance

COMPLETED THE SEPARATION FROM PFIZER

- Formally separated from Pfizer on June 24
- Continuing efforts to stand-up Zoetis in a responsible manner

CONTINUED COMMITMENT TO CUSTOMERS AND INNOVATION

- Challenging times continue for our customers and Zoetis is actively delivering programs to respond
 - New 24/7 e-commerce operation for customers in the US
 - New scientific advances, such as APOQUEL[®], to address unmet medical needs
 - Active lifecycle management efforts to take existing products to new markets or extend indications

RICK PASSOV
CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Second Quarter		
	2013*	2012*	Change
Revenue	1,114	1,094	2%
Reported Net Income	128	173	(26)%
Reported Diluted EPS	\$0.26	\$0.35	(26)%
Adjusted Net Income ¹	178	176	1%
Adjusted Diluted EPS ¹	\$0.36	\$0.35	3%

*Millions of dollars, except per share data

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Second Quarter				
	2013*	2012*	Change	Foreign Exchange	Operational ²
Revenue	\$1,114	\$1,094	2%	(2)%	4%
Adjusted Cost of Sales ¹	400	382	5%	(4)%	9%
<i>as a percent of revenue</i>	35.9%	34.9%	NA	NA	NA
Adjusted SG&A Expenses ¹	339	351	(3)%	(1)%	(2)%
Adjusted R&D Expenses ¹	91	91	—	1%	(1)%
Adjusted Interest Expense ¹	32	8	**	—	**
Adjusted Other (Income) / Deductions ¹	(3)	(7)	(57)%	29%	(86)%
Adjusted Tax Rate ¹	29.4%	33.8%	NA	NA	NA
Adjusted Net Income ¹	178	176	1%	1%	0%

*Millions of dollars; **Calculation not meaningful
NA – Not applicable

¹ Adjusted cost of sales, adjusted selling, general and administrative expenses (SG&A), adjusted research and development expenses(R&D), adjusted interest expense, adjusted other (income) / deductions, adjusted tax rate and adjusted net income (non-GAAP financial measures) are defined as the corresponding reported U.S. generally accepted accounting principles (GAAP) income statement line items, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

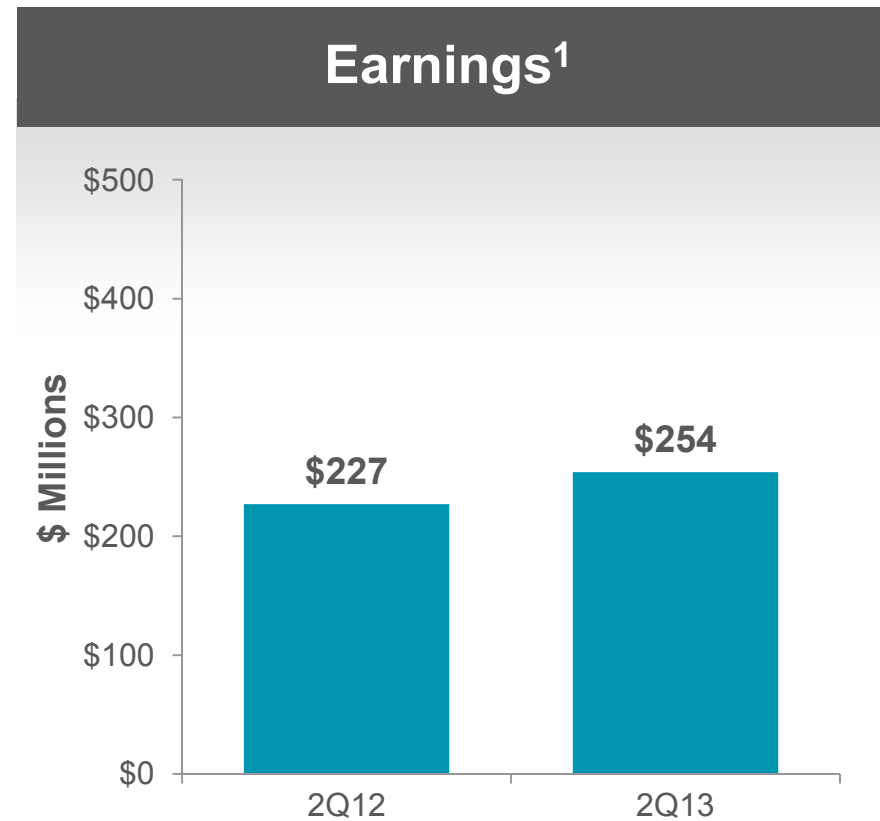
² Operational change excludes the impact of foreign exchange.



US SEGMENT PERFORMANCE



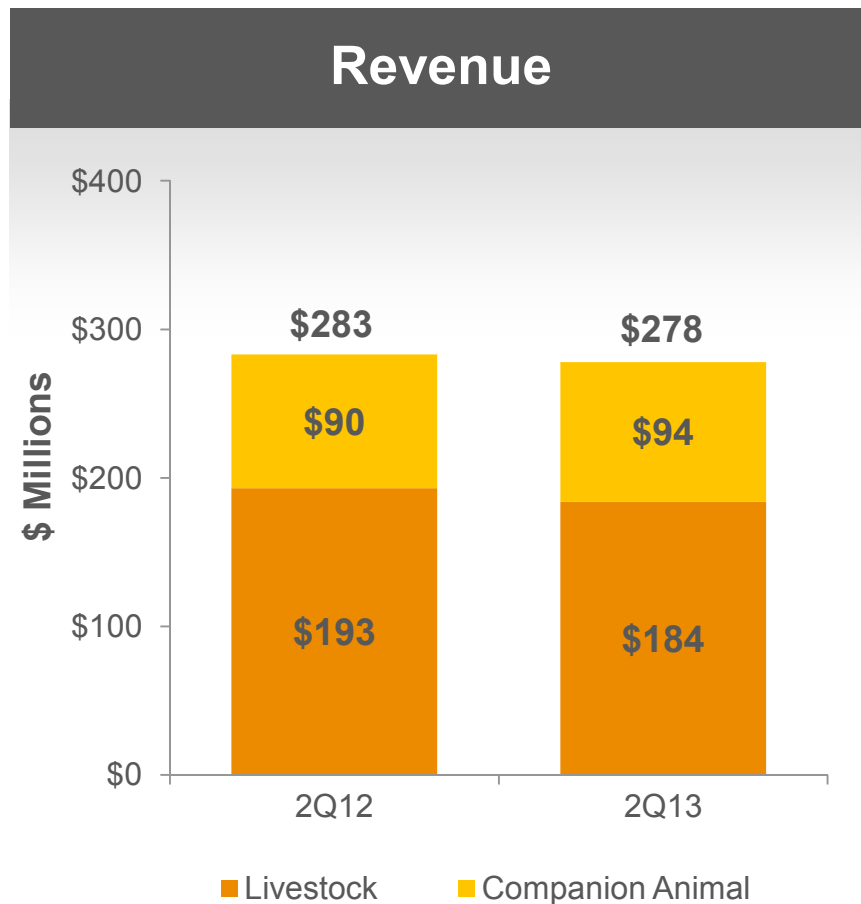
4% Growth



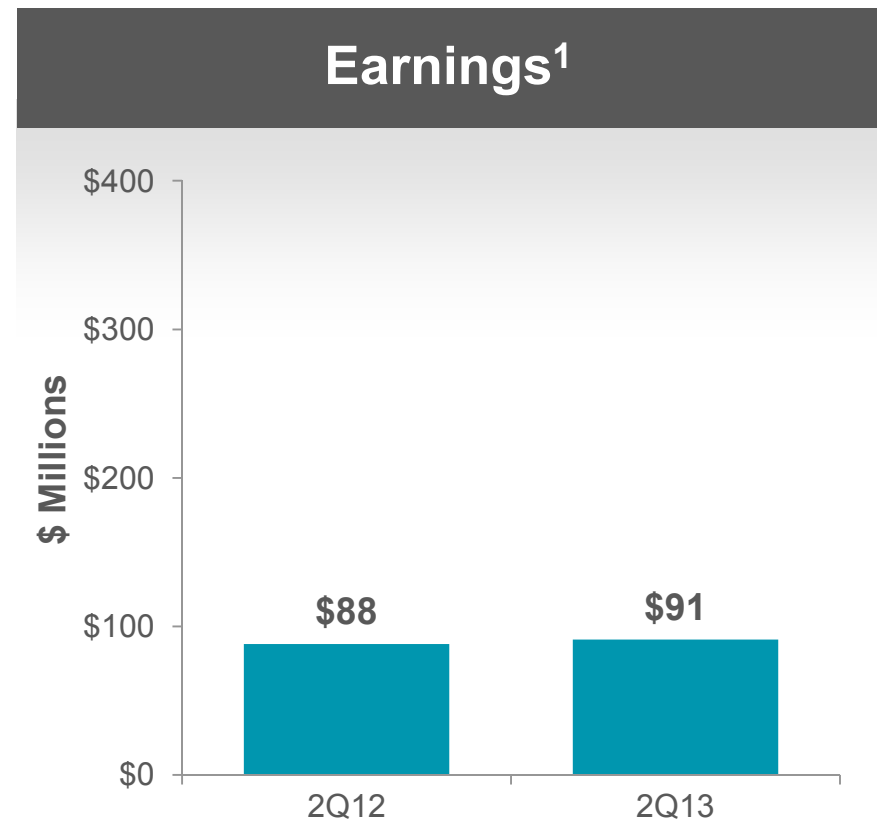
12% Growth

¹Defined as income before provision for taxes on income

EuAfME SEGMENT PERFORMANCE



2% Reported Decline
1% Operational² Growth

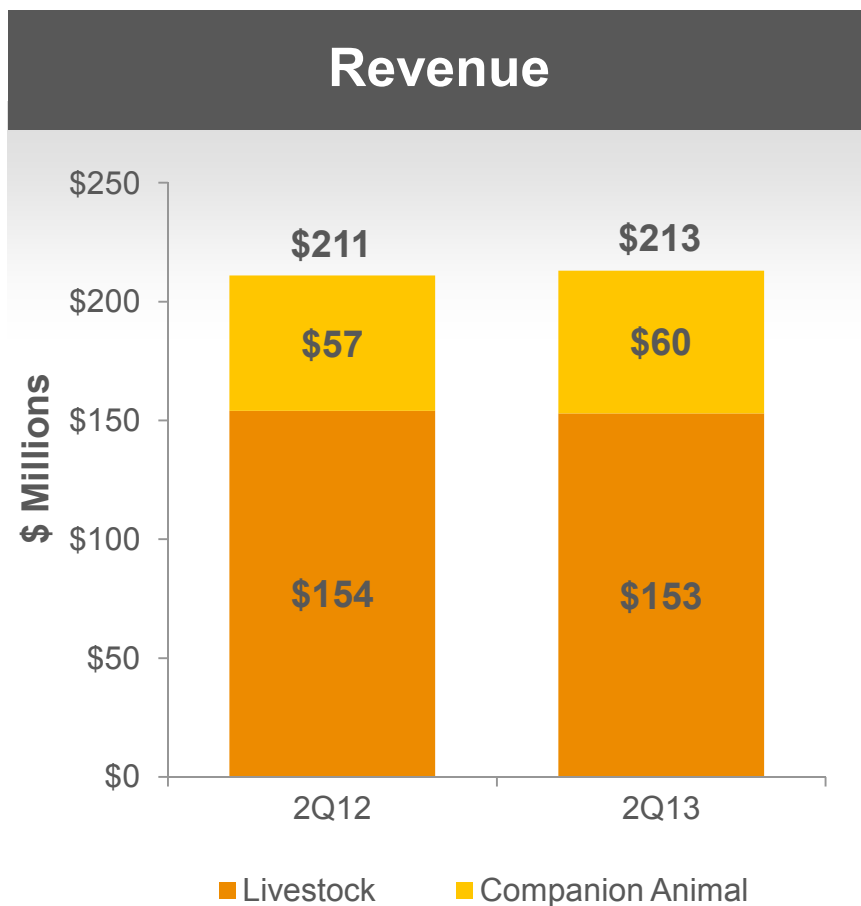


3% Reported Growth
1% Operational² Growth

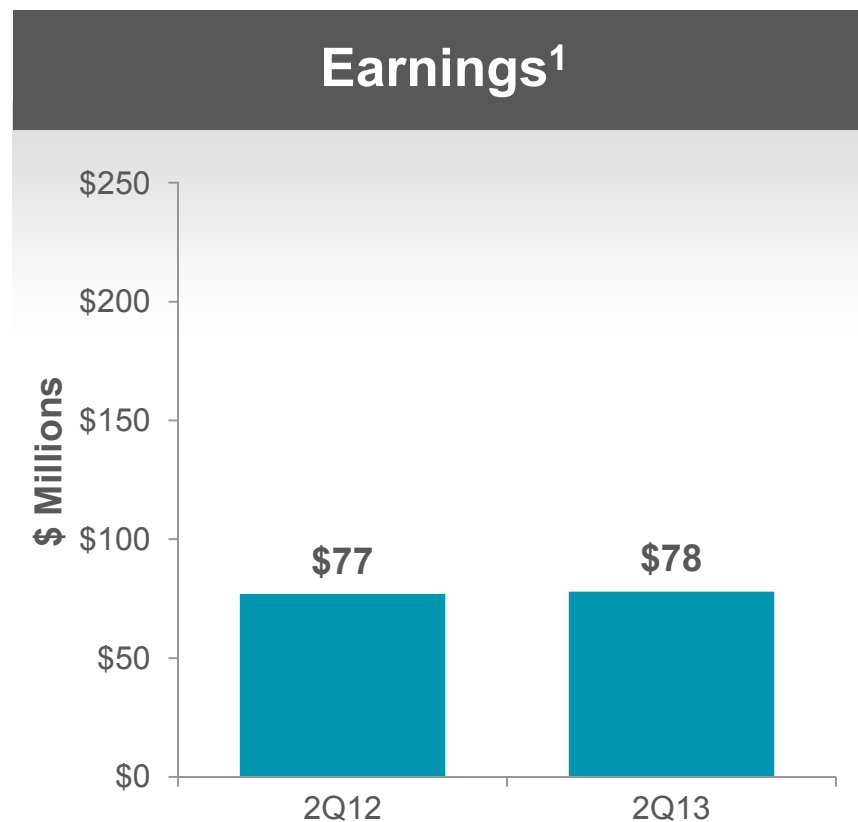
¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

CLAR SEGMENT PERFORMANCE



1% Reported Growth
4% Operational² Growth

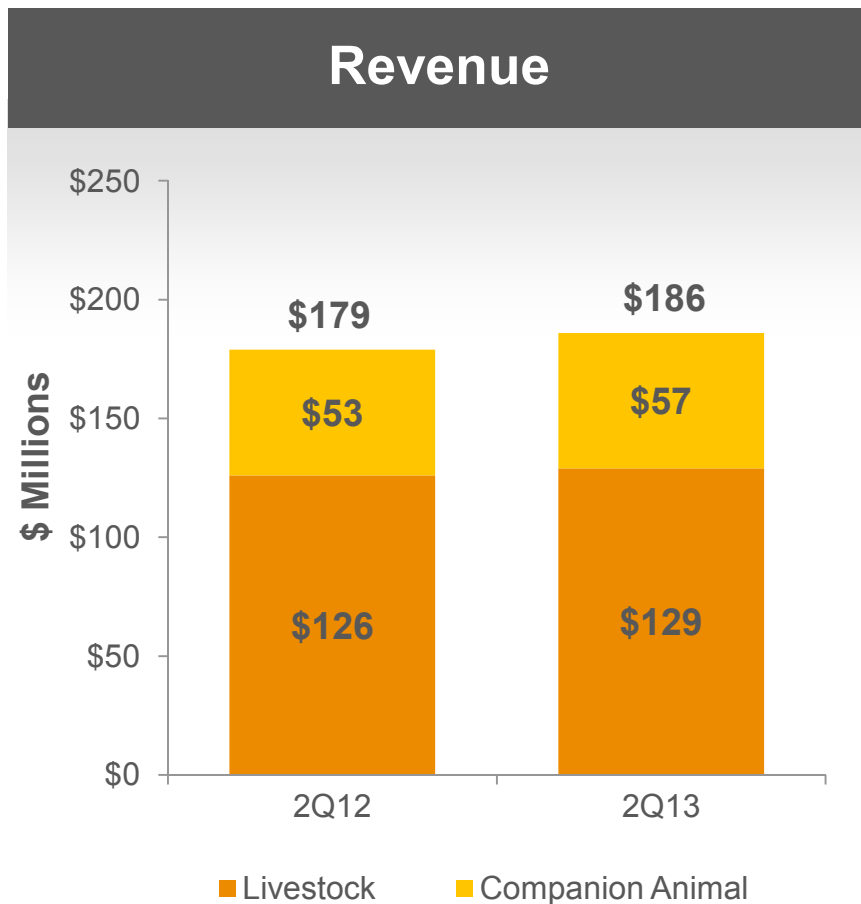


1% Reported Growth
7% Operational² Growth

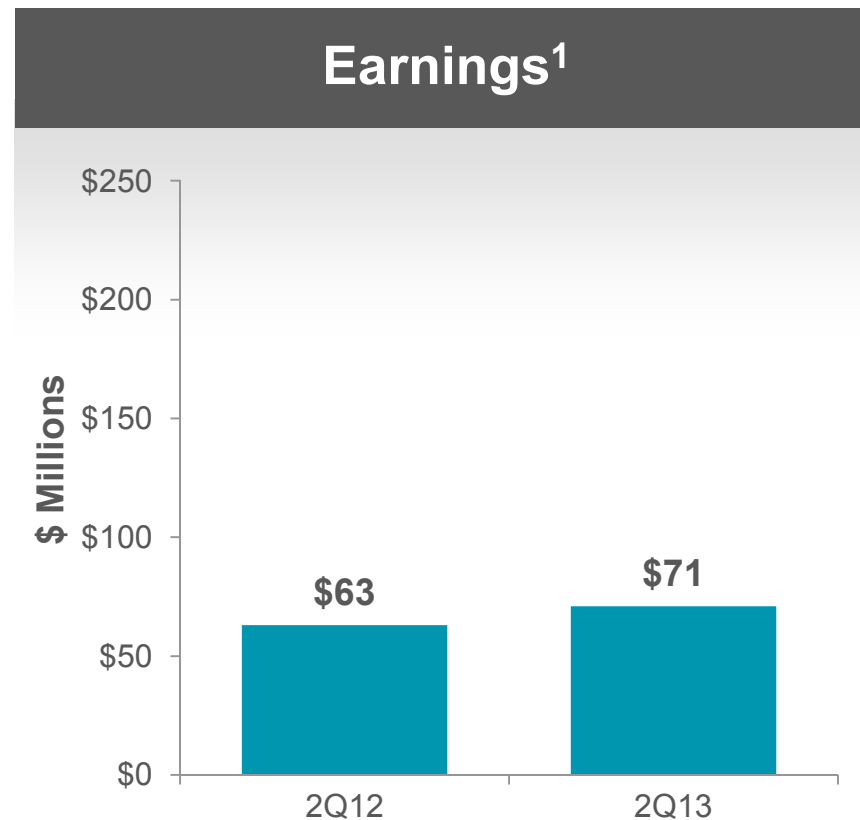
¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

APAC SEGMENT PERFORMANCE



4% Reported Growth
7% Operational² Growth



13% Reported Growth
11% Operational² Growth

¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

2013 GUIDANCE

Revenue	\$4.425B – \$4.525B
Adjusted Cost of Sales as a Percentage of Revenue ¹	35% – 36%
Adjusted SG&A Expense ¹	\$1.385B – \$1.435B
Adjusted R&D Expense ¹	\$385M – \$415M
Adjusted Interest Expense ¹	Approximately \$115M
Adjusted Other (Income) / Deductions ¹	Approximately \$20M income
Tax Rate on Adjusted Net Income	Approximately 29.5%
Reported Diluted EPS	\$1.00 – \$1.06
Adjusted Diluted EPS ¹	\$1.36 – \$1.42
Certain Significant Items ² and Acquisition-Related Costs	\$200M – \$240M

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

²Includes certain nonrecurring costs related to becoming a standalone public company, such as new branding (including changes to the manufacturing process for required new packaging), the creation of standalone systems and infrastructure, site separation and certain legal registration and patent assignment costs.

Q&A

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